However, the best policy work gets done in the open. The participatory policy process, grounded in intellectual debate, generates a better reforms process. It helps avoid a policy process that is pure power play. The work is better rooted in the landscape of people and institutions. The mistakes are more likely to be taken out. The negotiations and compromises create support and legitimacy. Policy implementation works out better.

Example 29: Petroleum reforms, the 'R group'

An example of this is the 'R Group' which worked on petroleum policy reform starting in 1995. This involved all parties to the thinking, worked in the open, negotiated short-term vs long-term elements of the reform, and laid the foundations of an important and successful reform.

A group of young leaders from public sector oil companies—all below age thirty—was formed, to prepare a road map to international competitiveness. The idea was that these individuals had a long-term stake in the success of the reform, and would be less invested in the present ways. This was termed the 'below thirty group'.

The 'R group' was set up under the chairmanship of the secretary, Petroleum and Natural Gas (Vijay Kelkar). The members were the leaders of public sector and private sector firms, and independent experts.

Multiple conferences took place with the leaders of trade unions on the benefits from the liberalization programme chosen by the 'below thirty group'.

The reforms began by replacing administered prices by international oil prices, for all upstream companies including Oil and Natural Gas Corporation (ONGC). This was coupled with competition in new exploration. ONGC simultaneously got better revenues and greater competition. ONGC also got the freedom to operate in the world, just like any large oil company would.

The next step was open competition in the downstream industry, along with replacing the cost-plus pricing regime by international parity pricing.